PALM OIL PROFITABILITY ANALYSIS EXECUTIVE

Prepared for: Nigerian-German Investor

Nigeria imports 650,000 tons of palm oil every year, worth about ₦1.2 trillion, even though it remains the largest producer in Africa. This wide supply gap creates a strong opportunity for a well-planned commercial plantation. By establishing 250-hectare palm oil farm in Edo state and applying modern industrial cultivation methods, the project can achieve yields of 71 tons/ha.

Using the proven Okomu/Presco benchmark model, drawn from a mix of trusted agricultural, financial, and industry datasets, including: FAOSTAT yield data, Okomu and Presco annual reports, NIFOR extraction benchmarks, World Bank and so on. These datasets provide a reliable baseline for yield, cost, and revenue projections.

The plantation model is built on transparent operational assumptions, including:
Expected yield of 5 tons/ha, oil extraction rate of 12 %, average CPO price of ₦1,320,000 per ton, annual operating cost of ₦1,100,000 per ha, Capital Expenditure per hectare of ₦321,309, and a plantation maturity horizon of 3 years.

The investment covers land development, seedlings, mechanized field operations, labor, and processing facilities to deliver this project with the following requirements:

- Profit per hectare: ₦71.09Millions
- Hectares needed to reach ₦1B profit: 225 hectares.
- Investment required to start: ₦7.62Billions
- ROI: 5.2 %
- Payback period: 4.8 years

The model captures how results change under different market and yield conditions to give clear risk and upside potential:

- Conservative scenario: 422 hectares needed, lower margin.
- Base scenario: 202 hectares needed, stable returns.
- Optimistic scenario: 139 hectares needed, highest profitability.

Based on performance indicators, the best option is to establish the plantation in Edo state at a scale of 225 hectare. Next steps include land verification, soil testing, nursery setup, and securing long-term CPO offtake agreements.

Some inputs rely on estimates and secondary sources, meaning field validation and agronomic surveys are required before execution.